



DECENTRALIZED CURRENCIES

All money is becoming increasingly “electronic,” as more of it exists only in the memory of banks’ computers. But truly digital currencies, which are not managed by a central bank, have also evolved. They use peer-to-peer payment systems, in which users make transactions directly. These decentralized currencies are also independent of governments, relying on the trust of the users rather than a central authority.

Bitcoin became the first decentralized cryptocurrency in 2009.



CRYPTOGRAPHY

Rather than being backed by reserves of gold or government bonds, some digital currency has a value based simply on the confidence of its users. Money in the system is created by a network of users, using cryptography, a form of information security with complex codes. The first of these cryptocurrencies, as they are known, was the bitcoin, and it was followed by a number of others, which are often called altcoins.



THE DOWNSIDE

Just like conventional money, electronic money has a downside. Banks are constantly updating their computer security, but criminals are often only one step behind. The new digital currencies, even the most sophisticated cryptocurrencies, are not immune to cybercrime. New systems and technology must constantly evolve to make our transactions safer and more convenient.